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HSBC | Europe

1Q26: Other Income and NII outlook offset higher provisions

WHAT'S CHANGED

HSBC (HSBA.L)	From	To
Price Target	1,420p	1,419p

Reaction to earnings

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Underlying Ppop was 1% ahead of cons, driven by a 6% Other Income beat more than offsetting higher costs. Increase in NII guidance and Other Income, offset higher expected ECL at 45bp. Post results, we raise our EPS 1.5-2.4% driven by revenues. HSBC trades on 1.8x TNAV for a 17-19% ROTE 26/28E.

Adj. PBT in-line with consensus, 5% ahead of MSe. Banking NII was in-line with expectations, and it was Other Income 5/6% better than MSe/Consensus which more than offset higher costs and drove 1/3% better Ppop. Provisions were 9% ahead of consensus largely driven by a one-off fraud case, and also included IFRS9 ECL updates for the Middle East. Notable Items were a negative \$679mn largely related to the disposal of Malta and FX recycling (Consensus was at -\$400mn). CET1 was 14.0%, down 40bp qoq, in-line with consensus and included the integration of Hang Seng Bank, which we believe clears the way for share buybacks to resume in Q2 as expected. \$0.10 DPS announced is in-line and TNAV per share is at \$9.46, -2% qoq.

17% ROTE or better, reiterated. HSBC now expects 2026e Banking NII at c. \$46bn vs. "at least \$45bn" previously benefiting from the improved rate outlook (MSe at \$46bn, consensus \$45.8bn). ECL charge has been increased to 45bp vs. c. 40bp previously. We forecast RoTE will climb to 18.6% by 2028 and the company is confident on >17% ROTE guidance albeit with the tail risk that before management actions, under a stressed scenario of a prolonged Middle East conflict the 17% ROTE target or better could be at risk. We believe the risk is likely more on the revenue side than on provisions, and note activity still appears robust at the beginning on 2Q26.

Fees and Other revenues ahead on broad-based stronger activity. HK and UK fees were ahead of MSe, but it was CIB 8% ahead that drove the beat at the group level. FX and Debt and Equity markets were stronger than expected despite the tough comp, and HSBC also saw \$200mn gain from a one-off property asset disposal. Net New Money was at a strong \$39bn (\$34bn NNIA), of which \$34bn was in Asia compared to small outflows in invested assets in Q4.

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HSBC (HSBA.L, HSBA LN)

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Stock Rating	Equal-weight
Industry View	Attractive
Price target	1,419p
Shr price, close (May 1, 2026)	1,359p
52-Week Range	1,411-830p
Mkt cap, curr (mn)	£235,088
Up/downside to price target (%)	4
Avg daily trading value (mn)	£239

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.55	1.72	1.86	2.05
Prior EPS (US\$)**	-	1.69	1.81	2.00
EPS, basic (US\$)*	1.21	1.64	1.87	2.06
EPS (US\$)§	1.43	1.66	1.82	1.99
P/E	10.2	10.8	9.9	9.0
DPS (US\$)	0.75	0.84	0.93	1.04
Div yld (%)	4.7	4.6	5.0	5.6
Tang BV (US\$ bn)	165	173	176	181
Tang BVPS (£)	7.09	7.48	7.88	8.41
P/tang BV	1.66	1.82	1.73	1.62
Return on avg tang eqty (%)	17.0	17.4	17.8	18.6
Core tier 1 capital ratio, Basel 3 (%)	14.9	14.1	14.2	14.3
RWA, Basel 3 (US\$ bn)	889	901	924	950

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Costs guidance has been reiterated at +1%. Costs were up 3% yoy in Q1, or +2% excluding higher variable pay accrual. \$300mn of the \$700mn simplifications savings expected in 2026 have been realized in Q1, and the company maintains its +1% target for the full year on an FX adjusted base of US\$34bn.

ECL charge guidance increased to 45bp vs. 40bp previously. The 52bp ECL charge reported includes \$400mn fraud-related indirect exposure via a financial sponsor in the UK (we believe MFS), which is now fully provided for. Additionally there is a \$300mn increase in allowances related to the increased weighting of a new downside 1 scenario (related to the Middle East conflict) to 30% reducing the Upside and Consensus Central case scenarios by 5/25% respectively. Actual underlying asset quality performance remains unchanged, and the ECL charge was immaterial for HK CRE this quarter.

Post results, we fine-tune our EPS estimates 1.5-2.4% 2026E-28E. We believe strong NII and Other Income ultimately will drive upgrades; however, the higher provisions including a \$400mn unexpected losses we believe related to MFS, could drive some profit taking on the day. Our earnings are ahead of consensus. The stock is trading on 1.8x 2026e TBV, for a 17-19% ROTE 2026-28E. We are Overweight in Asia, Equal-weight in Europe.

Exhibit 1 : Management has updated the 2026 guidance for Banking NII and ECL charge

FY26 Targets	Old Guidance	New Guidance
Banking NII	>= \$45bn	c.\$46bn
ECL charge	c.40bps	c.45bps
Costs growth	c.1%	c.1%
CET1 target range	14-14.5%	14-14.5%

Source: Company Results Presentation

Main Highlights and Estimate Changes

HSBC reported adjusted 1Q26 PBT of US\$10.1bn, 5% ahead of MSe, but in-line with consensus. Key points include:

- Adjusted revenue was 2% above MSe and consensus. Banking NII 1% missed MSe, in-line with consensus. US\$ 0.5bn QoQ decrease reflect fewer day counts, lower HIBOR as well as one-off items. **FY26 banking NII guidance revised up to ~US \$46bn (previous guidance at least US\$45bn).**
- Non-NII was the main beat, driven by better fees which are broad based due to pickup in general activities. Wealth momentum continued - wealth balance of US \$1,570bn (US\$1,068bn in Asia); net new money of US\$39bn (US\$34bn in Asia).
- Costs (ex bank levy) largely in-line with MSe, 4% ahead of consensus. **FY26 cost guidance of ~1% growth maintained, on a target basis of US\$34bn.**
- Credit charges 7% below MSe, but 9% above consensus. US\$1.3bn ECL include US \$0.3bn related to Middle East conflict and US\$0.4bn fraud-related secondary securitisation exposure with a financial sponsor in the UK. HSBC has provided detailed private market exposure in the presentation. **FY26 guidance revised to ~45bps (previously 40bps), reflecting ongoing uncertainty.**
- \$0.10 DPS declared, and with no share buyback announcement as expected. CET1 ratio of 14.0%.
- **Post results, we have revised our earnings estimates for 2026/2027/2028e by +1.5%, +2.4% and +2.3% respectively.** The main changes include higher revenue, driven by better banking NII outlook and better fee income (broad based). Following the precaution revision of ECL guidance and higher loan balance estimates, we have revised up credit charges slightly.
- Post our earnings upgrades, we have revised up bull case value by 2.3%, and bear case value by 13%, (also impacted by higher payout ratio and RoE forecasts in the bear case scenario). We have lowered base case value by 1.6%, mainly driven by lower medium RoE expectation in bull case and FX movement. As a result, our new price target is now at 14.19p, down 0.1% from our previous PT. Retain Equal-weight on UK ticker and OW rating on HK ticker.

Exhibit 2: HSBC 1Q26 results review

HSBC - US\$ mn	1Q25	2Q25	3Q25	4Q25	1Q26A	YoY	QoQ	1Q26 cons.	Actual vs. cons.	1Q26E	Actual vs. Mse
Banking NII	10,599	10,714	11,049	11,722	11,253	6%	-4%	11,276	0%	11,351	-1%
Fees and others	7,141	6,943	6,851	6,001	7,872	10%	31%	7,406	6%	7,466	5%
Total income	17,740	17,657	17,900	17,723	19,125	8%	8%	18,682	2%	18,817	2%
Operating expenses (excl. bank levy)	(7,911)	(8,268)	(8,380)	(8,615)	(8,543)	8%	-1%	(8,179)	4%	(8,561)	0%
Bank levy	0	0	0	(290)	0	n/m	-100%	0	0%	0	0%
Pre-provision profit	9,829	9,389	9,520	8,818	10,582	8%	20%	10,503	1%	10,256	3%
Impairments	(876)	(1,065)	(1,008)	(901)	(1,301)	49%	44%	(1,194)	9%	(1,398)	-7%
Associates & JVs	813	838	591	669	774	-5%	16%	723	7%	716	8%
Adjusted profit before tax	9,766	9,162	9,103	8,586	10,055	3%	17%	10,032	0%	9,574	5%
Total significant items	(282)	(2,836)	(1,808)	(1,784)	(679)	141%	-62%	(444)	53%	(250)	172%
Profit before tax	9,484	6,326	7,295	6,802	9,376	-1%	38%	9,588	-2%	9,324	1%
Tax	(1,914)	(1,455)	(1,792)	(1,615)	(1,982)	4%	23%	(2,030)	-2%	(1,894)	5%
Minorities	(246)	(138)	(219)	(243)	(49)	-80%	-80%	(493)	-90%	(253)	-81%
Reported net income	7,324	4,733	5,284	4,944	7,345	0%	49%	7,065	4%	7,177	2%
EPS	0.39	0.26	0.28	0.28	0.41	5%	46%	0.41	0%	0.40	1%
TBVPS	9.08	9.17	9.22	9.64	9.46	4%	-2%	9.42	0%	9.54	-1%
DPS	0.10	0.10	0.10	0.45	0.10	0%	-78%	0.10	0%	0.10	0%
Other Key Information											
Loans and advances to customers	944,708	981,722	982,886	988,399	1,001,957	6%	1%	994,700	0.7%	998,399	0.4%
Customer accounts	1,666,485	1,718,604	1,737,247	1,786,828	1,781,761	7%	0%	1,797,500	-0.9%	1,798,225	-0.9%
Risk-weighted assets	853,257	886,860	878,793	888,647	883,759	4%	-1%	894,300	-1.2%	899,469	-1.7%
Common equity tier 1 ratio	14.7%	14.6%	14.5%	14.9%	14.0%	-70bps	-90bps	14.0%	-1bps	13.7%	31bps

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 3: HSBC estimate revisions

HSBC \$bn	2026e			2027e			2028e		
\$ bn	Old	New	% Diff	Old	New	% Diff	Old	New	% Diff
Banking NII	46.0	46.0	0.0%	46.5	47.2	1.5%	48.2	49.0	1.5%
Fee and others	27.8	28.8	3.3%	29.6	30.2	2.0%	31.5	32.1	1.9%
Revenue	73.9	74.8	1.2%	76.1	77.4	1.7%	79.7	79.8	0.1%
Operating expenses	-34.2	-34.3	0.5%	-35.3	-35.5	0.5%	-36.6	-36.8	0.6%
Pre-provision profit	39.7	40.4	1.9%	40.8	41.9	2.7%	43.2	44.3	2.6%
Loan loss provisions	-4.3	-4.7	7.7%	-3.8	-3.9	2.3%	-3.9	-4.0	2.3%
Adjusted PBT	38.0	38.5	1.5%	39.7	40.9	3.0%	42.1	43.4	3.1%
EPS (for consensus)	1.69	1.72	1.5%	1.81	1.86	2.4%	2.00	2.05	2.3%
TBVPS	10.29	10.22	-0.7%	10.87	10.76	-1.0%	11.62	11.49	-1.1%
CET1 ratio %	14.0%	14.1%	2bps	14.1%	14.2%	1bps	14.2%	14.3%	1bps

Source: Morgan Stanley Research estimates (E)

1Q Numbers in Detail

Banking NII came in in-line with consensus/1% below MSe. HK NII was down 9% qoq after a very strong Q4 which was up 11% qoq. This was driven by an absence of 4Q one off and lower HIBOR in the quarter (-72bp qoq), while remuneration in savings accounts was already at 1bp. Time deposit mix was stable at 36%. NII in the UK was down 1.6% qoq, broadly in-line with Natwest/Barclays, with CIB flat. Loan growth has improved to 4% yoy, up 1.4% qoq, driven by ongoing growth in the UK and CIB, with the company calling out momentum in trade. Deposits were stable in the quarter, in-line with seasonality, up 5% yoy. The notional of the hedge in 1Q26 has increased to \$604bn (+\$11bn QoQ), with c. \$80bn maturing in 2026E still providing a significant NII tailwind (2.7% yield).

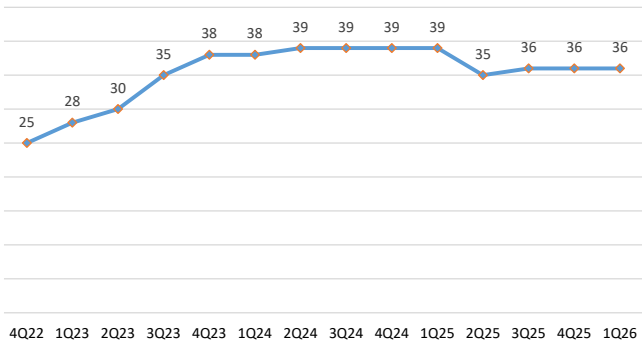
Management is now guiding to Banking NII of c. \$46bn for 2026e vs. at least \$45bn previously. This is largely due to the rate outlook, with the forward curve in the US no longer expecting rate cuts this year, and we believe the volume performance in both deposit and loans also helps.

Exhibit 4: The structural hedge notional increased 1.9% qoq to \$604bn

\$bn	Balance	Average yield
Notional balance	604	
- 2Q26-4Q26	~80	~2.7%
- 2027	~110	~3.4%
- 2028	~100	~3.6%

Source: Company data

Exhibit 5: Time deposits as % of HK customer accounts



Source: Company data

ECL charge of 52bps, FY26 guidance increased to c.45bps. Provisions were \$1.3bn in the quarter, 9% ahead of consensus, and 7% below MSe. The ECL charge reported includes \$400mn fraud-related secondary securitization exposure with a financial sponsor in the UK (we believe related to MFS), which is now fully provided for. Management has provided new disclosure on Private Credit which amounts to \$22bn, c. 2% of total loans as previously disclosed. We do not expect material losses in Private Credit for banks in general. In the quarter, HSBC also increased allowances by \$300mn related to the increased weighting of the downside 1 scenario to 30% reducing the Upside and Consensus Central case scenarios by 5% and 25% respectively. The ECL charge was immaterial for HK CRE this quarter, and exposures continue to tick down.

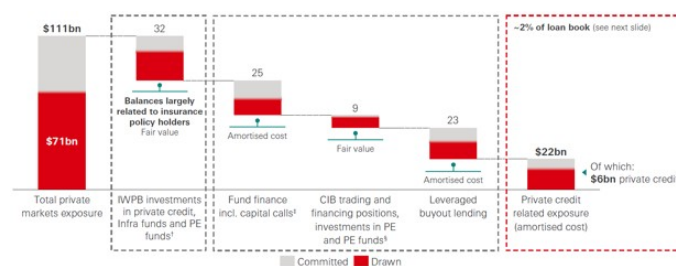
Exhibit 6: Hong Kong commercial real estate (excl. exposure to mainland China borrowers)

	FY24	FY25	1Q26	QoQ%
Strong	4.5	3.3	3.3	0%
Good	9.8	8.2	7.8	-5%
Satisfactory	10.7	10.4	9.8	-6%
Sub-standard	3.7	2.4	2.5	4%
- Of which: >70% LTV	0.1	0.0	0.0	
Credit impaired	4.6	6.3	6	-5%
- Of which: >70% LTV	1.2	1.9	2.2	16%
Total	33.2	30.6	29.5	-4%

Memo items:

ECL charge	-0.1	-0.7	0
ECL allowance	-0.4	-1.1	-1.2
- Of which: credit impaired	-0.3	-0.9	-1
Average LTV sub-standard	46%	42%	44%
Average LTV credit impaired	58%	71%	75%
% portfolio secured*	54%	57%	56%

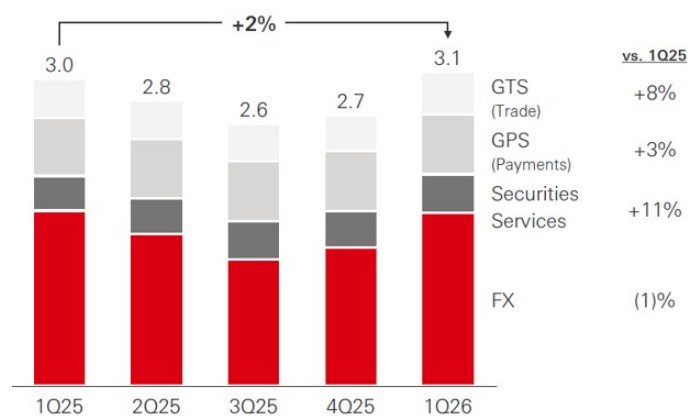
Source: Company data. *Based on total limits, including off balance sheet commitments, of \$43.2bn (FY25: \$42.8bn)

Exhibit 7: Private Markets exposure

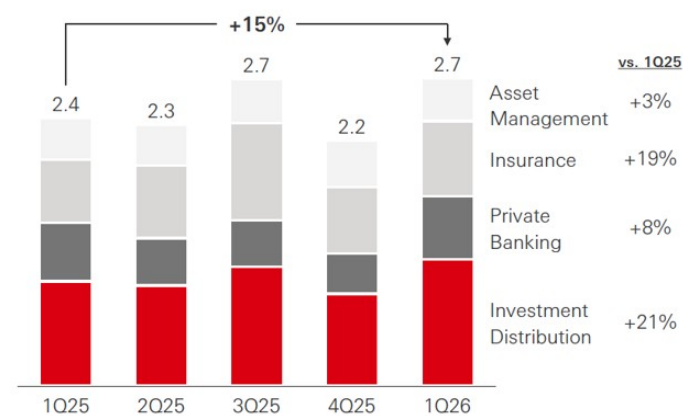
Source: Company 1Q26 Results Presentation

17% ROTE or higher has been reiterated. Management has reiterated its full year guidance of 17% or higher; however, it does do flag that under a stressed scenario where the Middle East conflict is more prolonged and severe, earnings could fall below. As part of its periodic internal stress testing, it points out that a scenario with higher oil prices, rising inflation, a material slowdown to GDP, rising unemployment and market disruption could see **mid-to-high single digit impact on PBT before management actions**. We believe this is a stressed scenario with as much impact on revenues as it has on provisions. We believe this should be a well understood tail risk, and so far activity indicators in April remain strong.

Other Income ex-notable Items was c.\$7.9bn, up 10% YoY, and +5%/6% vs. MSe/consensus. Debt and Equity markets almost doubled qoq, while Wholesale Transaction Banking was up 2% yoy. Wealth fees were up c.18% yoy to \$2.7bn, with Insurance still growing at a strong 22% yoy. Wealth balances grew by \$7bn qoq, with \$39bn of Net New Money (1Q25: \$23bn), and \$34bn coming from Asia, partly offset by market and FX impacts.

Exhibit 8: Wholesale Transaction Banking non-NII, US\$bn

Source: Company 1Q26 Results Presentation

Exhibit 9: Wealth non-NII, US\$bn

Source: Company 1Q26 Results Presentation

Costs guidance for FY26 has been reiterated at +1%. Costs were up 3% yoy in Q1, 4% ahead of consensus but in line with out estimates, or +2% excluding variable pay accrual. \$300mn of the \$700mn simplifications savings expected in 2026 have been realized in Q1, and the company maintains its +1% target for the full year, on a target basis of \$34bn. We forecast c.1% underlying cost growth in FY26.

Exhibit 10: Cost target basis reconciliation

\$m	FY25	1Q25	1Q26
Costs	(36,974)	(8,453)	(8,721)
Less: Notable items	2,979	198	178
Less: Impact of retranslating prior period results in hyperinflationary economies at constant currency	(23)	(9)	—
Target basis	(34,018)	(8,264)	(8,543)

Source: Company 1Q26 Results Presentation

Exhibit 11: c\$1.5bn simplification savings from reorganisation

\$bn	FY25	1Q26
Restructuring and other related costs	(1.0)	(0.1)
Annualised cost savings actioned	1.2	0.2
Cost savings realised in P&L	0.6	0.3

Source: Company 1Q26 Results Presentation

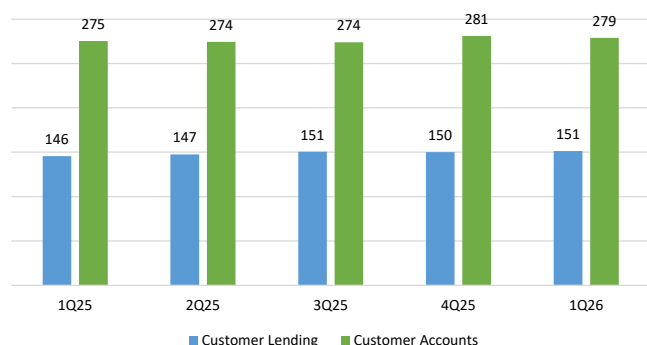
CET1 was 14%, down 90bps QoQ, with 90bps profit generation offset by Hang Seng Bank and Malta disposal loss (110bps), 50bps dividend accrual and 20bps RWA impact driven by higher corporate lending. The 14% compares to management's 14-14.5% go-to level, and we believe opens the door for buybacks to resume in Q2. We forecast \$7bn overall buyback in 2026, and \$12bn p.a. thereafter. The company has also announced \$0.10 DPS, in-line with consensus/MSe.

Exhibit 12: CET1: 90bps profit generation offset by strategic initiatives (110bps), dividend (50bps) and 20bps RWA impact



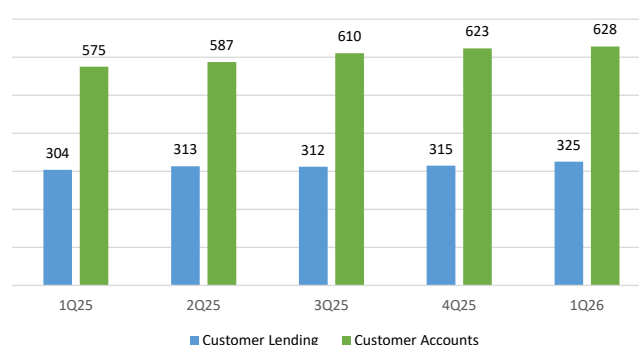
Source: Company data

Exhibit 13: IWPB - customer lending and account balances, US \$bn



Source: Company Data

Exhibit 14: CIB - customer lending and account balances, US \$bn



Source: Company Data

Financials

Exhibit 15: Financial Summary

HSBC US\$ bn	2022	2023	2024	2025	2026e	2027e	2028e
Profit & Loss account							
Net interest income	32.6	35.8	32.7	34.8	36.7	37.8	39.6
Net fees and commissions	11.5	11.8	12.3	13.3	14.5	13.9	14.9
Trading income	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Other income (net claims)	4.0	-6.5	-4.6	-8.0	23.5	25.7	26.7
Non interest income	15.5	5.4	7.7	5.4	38.1	39.6	41.5
Total income	48.1	41.2	40.4	40.2	74.8	77.4	81.1
Operating expenses	-30.4	-31.9	-32.8	-33.5	-34.3	-35.5	-36.8
Pre-provision operating profit	17.7	9.3	7.6	6.7	40.4	41.9	44.3
Impairments	-3.6	-3.4	-3.4	-3.9	-4.7	-3.9	-4.0
Associates & JVs	2.7	2.8	2.9	2.9	2.8	2.9	3.1
Operating profit	16.8	8.7	7.1	5.8	38.5	40.9	43.4
Own debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-qualifying hedges	0.0	-1.0	0.0	0.0	0.0	0.0	0.0
Disposal gains/one-off income	-0.6	1.0	-1.5	-2.1	-0.8	0.4	0.0
Conduct/litigation costs	0.0	0.0	0.0	-1.4	0.0	0.0	0.0
Ring fence/ Brexit costs	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Restructuring costs	-3.1	0.1	0.0	-1.0	-0.9	-0.3	-0.1
Other significant items	4.4	21.5	26.8	28.8	0.0	0.0	0.0
Profit before tax	17.5	30.3	32.3	29.9	36.9	40.9	43.3
Tax	-0.9	-5.8	-7.3	-6.8	-7.8	-8.7	-9.2
Minorities, AT1, prefs. & other	-1.8	-2.1	-2.1	-2.0	-1.1	-1.1	-1.1
Net attributable profit	14.8	22.4	22.9	21.1	27.9	31.1	33.0
Adjusted net profit	19.7	23.7	24.5	27.2	29.4	31.0	33.1
Key items							
Number of Shares (avg, fd)	19,986	19,600	18,485	17,547	17,140	16,721	16,129
EPS (for cons. US\$)	0.99	1.21	1.33	1.55	1.72	1.86	2.05
EPS (\$) - reported	0.75	1.15	1.25	1.21	1.64	1.87	2.06
DPS (\$) - total declared	0.32	0.61	0.87	0.75	0.84	0.93	1.04
Cash DPS (\$) - declared	0.32	0.61	0.87	0.75	0.84	0.93	0.00
Buyback (US\$ mn)	1,000	9,000	11,000	6,000	7,000	12,000	12,000
BVPS (US\$)	8.23	8.70	9.24	10.34	10.95	11.51	12.27
TBVPS (US\$)	7.36	8.08	8.60	9.62	10.22	10.76	11.49
Net customer loans (US\$ bn)	924,854	938,535	930,658	988,399	1,026,249	1,055,605	1,087,609
Customer accounts (US\$ bn)	1,570,303	1,611,647	1,654,955	1,786,828	1,848,260	1,905,298	1,958,674
CRD IV CET1 (US\$ bn)	119,291	126,501	124,911	132,593	127,308	131,370	135,858
CRD IV RWAs (US\$ bn)	839,720	854,114	838,254	888,647	901,325	924,282	949,668
CRD IV Leverage exposure (US\$ bn)	2,417,201	2,574,755	2,571,071	2,877,070	3,234,986	3,316,797	3,403,042
Key ratios							
NIM (% avg. net loans)	3.31%	3.84%	3.50%	3.63%	3.65%	3.63%	3.69%
Cost: income ratio (%)	63%	77%	81%	83%	46%	46%	45%
Cost of risk (bp)	36.5	37.0	36.5	40.1	46.3	37.8	37.5
Dividend payout ratio (%)	43%	53%	70%	62%	51%	50%	0%
Total payout ratio (%)	50%	94%	122%	94%	78%	89%	0%
Loans to deposits (%)	59%	58%	56%	55%	56%	55%	56%
ROTE, underlying (%)	12.8%	15.5%	15.8%	17.0%	17.4%	17.8%	18.6%
ROE, reported (%)	8.3%	12.6%	13.0%	11.6%	14.3%	15.4%	16.0%
CRD IV CET1 ratio (%)	14.2%	14.8%	14.9%	14.9%	14.1%	14.2%	14.3%
CRD IV Total capital ratio (%)	18.7%	19.6%	20.1%	20.1%	19.1%	19.1%	19.1%
CRD IV T1 leverage ratio (%)	5.8%	5.6%	5.6%	5.3%	4.6%	4.6%	4.6%

Source: Company data, Morgan Stanley Research estimates (E)

Exhibit 16: 3 stage Gordon Growth Model - base case**3 stage Gordon Growth Model**

Assumption	
Risk Premium	7.0%
Risk Free	2.3%
Beta	1.10
CoE	10.0%
Sus RoE	10.0%
Payout ratio	75.0%
Sus G	2.5%
(RoE-SusG)/(CoE-SusG)	1.00
Current Price (HK\$)	144.1
Fair Value (HK\$)	141.2
Fair Value GBP	13
Upside	-2.0%

HSBC	DPS (US\$)	EPS (US\$)	Payout Ratio	RoTE	G	CoE	NTAV (US\$)	DF	PV
2022	0.32	0.99	32%	13.4%	9%	10.0%	7.36		
2023	0.61	1.21	50%	14.9%	7%	10.0%	8.08		
2024	0.87	1.33	66%	15.4%	5%	10.0%	8.60		
2025	0.75	1.55	48%	16.1%	8%	10.0%	9.62		
2026e	0.84	1.72	49%	16.8%	9%	10.0%	10.22	1.00	0.84
2027e	0.93	1.86	50%	17.3%	9%	10.0%	10.76	0.91	0.85
2028e	1.04	2.05	51%	17.8%	9%	10.0%	11.49	0.83	0.86
NPV of forecast Dividends		2.55							
2029e	1.02	2.05	50%	18.0%	9.0%	10.0%	12.51	0.75	0.77
2030e	1.13	2.25	50%	18.0%	9.0%	10.0%	13.64	0.68	0.77
2031e	1.23	2.45	50%	18.0%	9.0%	10.0%	14.86	0.62	0.76
2032e	1.34	2.68	50%	18.0%	9.0%	10.0%	16.20	0.57	0.76
2033e	1.46	2.92	50%	18.0%	9.0%	10.0%	17.66	0.51	0.75
2034e	1.75	3.16	55%	18.0%	8.1%	10.0%	19.09	0.47	0.82
2035e	2.06	3.44	60%	17.5%	7.0%	10.0%	20.46	0.43	0.88
2036e	2.33	3.58	65%	16.3%	5.7%	10.0%	21.72	0.39	0.90
2037e	2.48	3.54	70%	15.0%	4.5%	10.0%	22.78	0.35	0.87
2038e	2.56	3.42	75%	11.0%	2.8%	10.0%	23.63	0.32	0.82
NPV of 11-20 year dividends		8.10							
NPV of Terminal Value		7.57							
12 month base case fair value (US\$)		18.2							
12 month upside		-2.0%							
12 month base case fair value (HK\$)		141.2							

Source: Company data, e = Morgan Stanley Research estimates

Risk Reward – HSBC (HSBA.L)

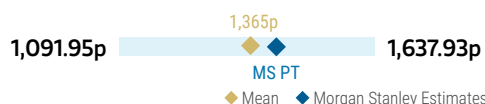
High-teens RoE and capital returns make it defensive. Equal-weight

PRICE TARGET 1,419p

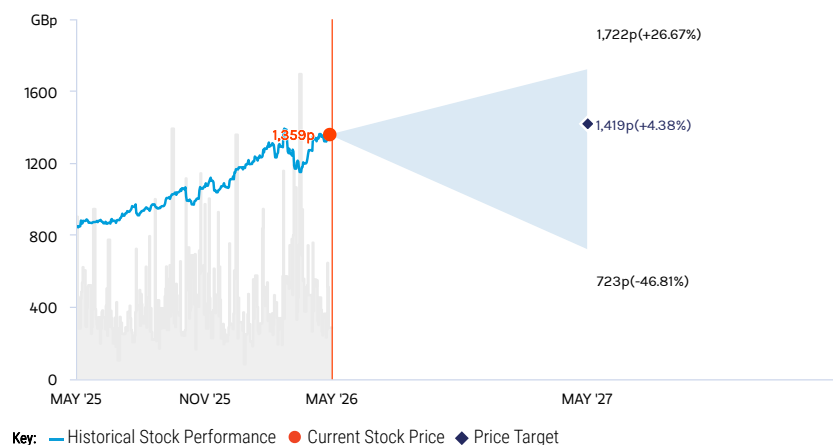
Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based on the likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividend, to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

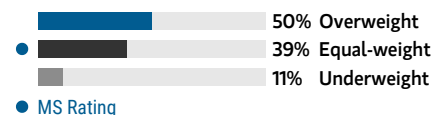


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Rising rates have driven NIM higher. The rate cycle has now peaked, leading to NIM headwinds, but non-interest income growth and capital returns mean RoTE can stay above 17%.
- We have increased confidence in non-interest income growth (especially in wealth, but also in corporate banking). We also see continued cost control, with medium-term cost growth of c.3%.
- We see HSBC maintaining a 50% payout ratio, and share buybacks of c.US\$7-12bn from 2026 onwards. Capital returns will likely further support the share price.
- Macro and geopolitical risks remain, but we expect capital returns and fee growth to provide support for the share price.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

1,722p

Costs well controlled

Global macro sentiment improves as oil price falls. Global growth supported by AI productivity gains, and rates and NIMs remain high. Revenues accelerate faster than in base case, yet HSBC still delivers 3% cost growth post 2026e. Macro risks abate, CoE 9.3%.

BASE CASE

1,331p

Rate rises follow Fed curve; risks abate

Geopolitical tensions means uncertainty in global growth. Loan growth remains subdued, although we still see structural growth in fees. Costs remain well controlled.

BEAR CASE

723p

Rising macro risks

Hard landing leads to fall in US rates to 2.5% and HSBC's NIM comes under more severe pressure. HSBC struggles to control costs and cost:income remains elevated. Macro and geopolitical risks increase. CoE 13.5%

Risk Reward – HSBC (HSBA.L)

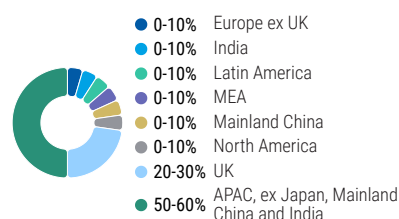
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Loan growth (%)	6.2	3.8	2.9	3.0
NIM (%)	1.59	1.59	1.58	1.61
Core PPOP growth (%)	20.0	15.2	(4.5)	9.4
Credit Costs (%)	0.39	0.45	0.37	0.37

INVESTMENT DRIVERS

- Revenue progression
- Cost management
- Asset quality outlook

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

RISKS TO DOWNSIDE

- Slower than expected global growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

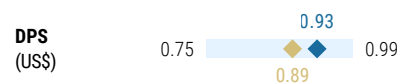
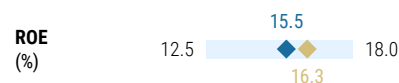
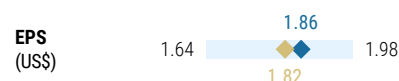
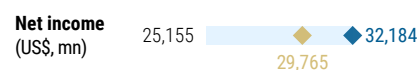
OWNERSHIP POSITIONING

Inst. Owners, % Active	60%	
HF Sector Long/Short Ratio	2.3x	
HF Sector Net Exposure	20.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

HSBC Holdings (0005.HK)

Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based upon likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividends to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Risks to Upside

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

Risks to Downside

- Slower than expected global growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

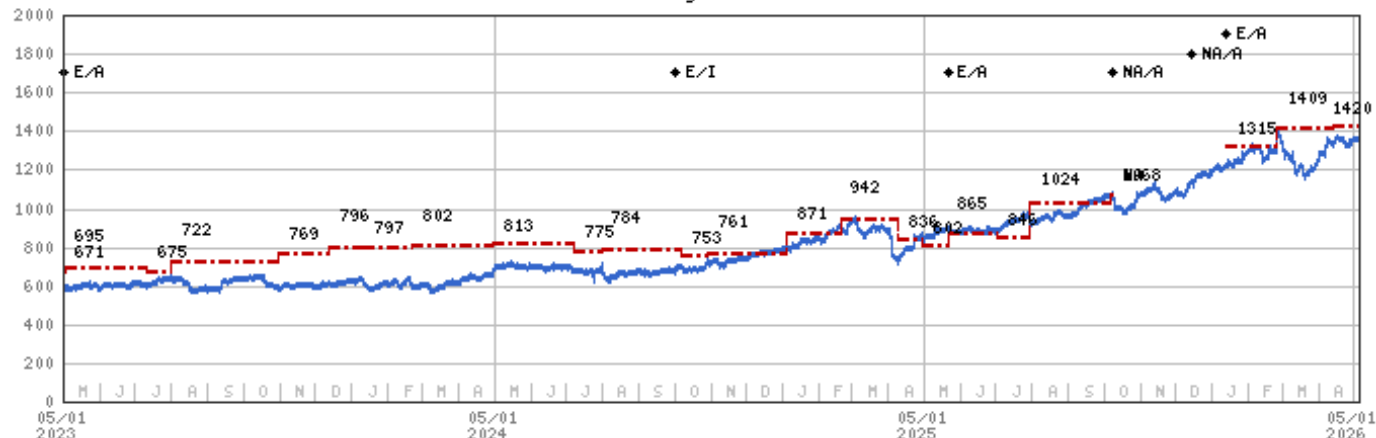
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

HSBC (HSBA.L) - As of 05/05/26 GMT in GBp
Industry : Banks



Stock Rating History: 5/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 10/8/25 : NA/A; 12/14/25 : NA/A; 1/13/26 : E/A

Price Target History: 2/24/21 : 430; 8/4/21 : 450; 10/25/21 : 460; 12/2/21 : 484; 1/16/22 : 518; 2/16/22 : 543; 2/22/22 : 551; 4/26/22 : 590; 7/5/22 : 624; 8/1/22 : 641; 10/17/22 : 690; 2/21/23 : 683; 4/18/23 : 671; 5/2/23 : 695; 7/11/23 : 675; 8/1/23 : 722; 10/30/23 : 769; 12/12/23 : 796; 1/11/24 : 797; 2/21/24 : 802; 4/30/24 : 813; 7/8/24 : 775; 7/31/24 : 784; 10/7/24 : 753; 10/29/24 : 761; 1/4/25 : 871; 2/19/25 : 942; 4/9/25 : 836; 4/29/25 : 802; 5/21/25 : 865; 7/2/25 : 846; 7/30/25 : 1024; 10/7/25 : 1068; 10/8/25 : NA; 1/13/26 : 1315; 2/25/26 : 1409; 4/13/26 : 1420

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

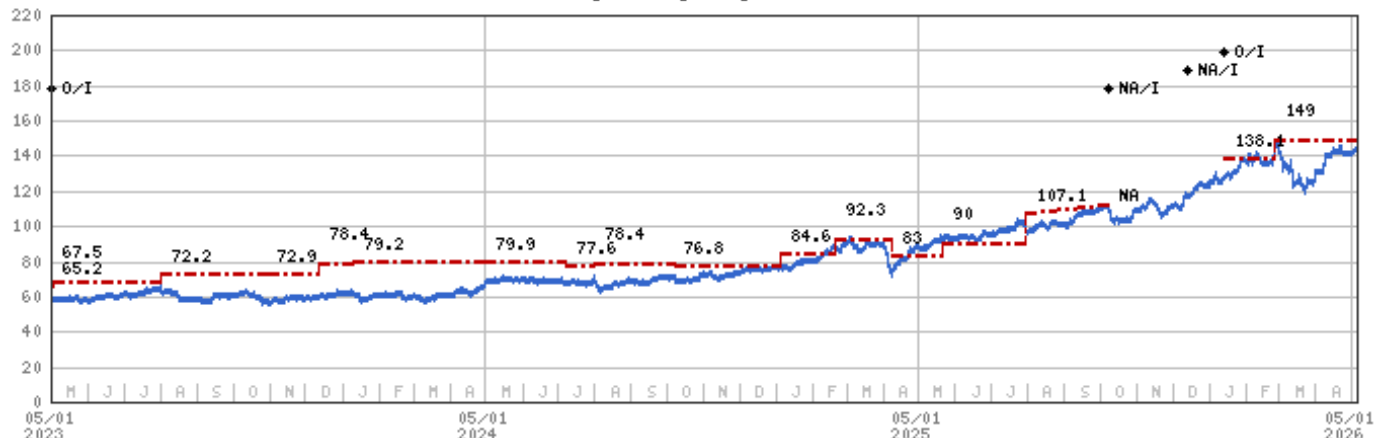
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

HSBC Holdings (0005.HK) - As of 05/05/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 5/1/21 : E/C; 10/17/22 : O/I; 10/8/25 : NA/I; 12/14/25 : NA/I; 1/13/26 : O/I

Price Target History: 2/24/21 : 46; 8/5/21 : 48; 10/25/21 : 50; 12/2/21 : 50.4; 1/16/22 : 55.1; 2/16/22 : 58.2; 2/22/22 : 59; 8/1/22 : 61.3; 10/17/22 : 59.8; 2/21/23 : 64.4; 4/18/23 : 65.2; 5/2/23 : 67.5; 8/1/23 : 72.2; 10/30/23 : 72.9; 12/12/23 : 78.4; 1/11/24 : 79.2; 4/30/24 : 79.9; 7/8/24 : 77.6; 7/31/24 : 78.4; 10/7/24 : 76.8; 1/4/25 : 84.6; 2/19/25 : 92.3; 4/9/25 : 83; 5/21/25 : 90; 7/30/25 : 107.1; 10/8/25 : NA; 1/13/26 : 138.1; 2/25/26 : 149

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/04/2026)
Alvaro Serrano		
AIB Group plc (AIBG.I)	E (05/21/2025)	€9.80
Banco Comercial Portugues SA (BCPLS)	E (03/03/2025)	€0.88
Banco Sabadell (SABE.MC)	E (10/21/2025)	€3.25
Bankinter (BKT.MC)	E (09/15/2022)	€13.83
Bank of Ireland (BIRG.I)	O (11/24/2025)	€16.74
Barclays Bank (BARC.L)	O (09/26/2023)	434p
BBVA (BBVA.MC)	E (10/21/2025)	€17.90
CaixaBank SA (CABK.MC)	E (11/25/2024)	€10.59
Commerzbank (CBKG.DE)	E (09/02/2025)	€34.02
HSBC (HSBA.L)	E (01/13/2026)	1,359p
Lloyds Banking Group (LLOY.L)	O (03/04/2025)	98p
NatWest Group (NWG.L)	E (10/02/2023)	566p
Santander (SAN.MC)	O (03/23/2026)	€9.98
UNICAJA BANCO SA (UNI.MC)	U (01/15/2021)	€2.66
Giulia Aurora Miotto, CFA		
ABN AMRO Bank NV (ABNd.AS)	O (09/22/2025)	€28.97
BNP Paribas (BNPP.PA)	E (09/15/2022)	€87.45
Credit Agricole S.A. (CAGR.PA)	E (07/08/2024)	€16.51
Deutsche Bank (DBKGn.DE)	O (03/27/2024)	€25.95
ING Groep (INGA.AS)	E (03/23/2026)	€23.97
KBC Group NV (KBC.BR)	E (11/24/2025)	€111.05
Societe Generale (SOGN.PA)	O (11/01/2024)	€65.72
UBS Group AG (UBSG.S)	U (06/18/2025)	SFr 34.22
Gulnara Saitkulova		
Bank Pekao S.A. (PEO.WA)	E (03/13/2026)	PLN 228.90

Bank PKO BP (PKO.WA)	O (03/13/2026)	PLN 94.77
BAWAG Group AG (BAWG.VI)	O (05/20/2025)	€143.50
Danske Bank (DANSKE.CO)	O (08/13/2024)	DKr 317.50
DNB (DNB.OL)	U (09/23/2024)	NKr 278.40
Erste Group Bank AG (ERST.VI)	O (01/13/2025)	€93.50
Nordea Bank Abp (NDAFI.HE)	O (11/25/2024)	€15.66
OTP Bank (OTPB.BU)	O (03/13/2026)	HUF 41,630.00
Skandinaviska Enskilda Banken AB (SEBa.ST)	E (05/21/2024)	SKr 178.30
Svenska Handelsbanken AB (SHBa.ST)	U (07/08/2025)	SKr 129.60
Swedbank (SWEDa.ST)	U (02/15/2024)	SKr 321.00
Nick Lord		
Standard Chartered Bank (STAN.L)	O (11/24/2025)	1,877p
Noemi Peruch		
Banca Monte Paschi Siena (BMPS.MI)	E (01/05/2026)	€8.90
Banco BPM (BAMI.MI)	U (01/05/2026)	€12.15
BPER Banca (EMII.MI)	O (01/05/2026)	€12.35
Intesa SanPaolo S.p.A. (ISP.MI)	O (03/05/2024)	€5.63
UniCredit S.p.A. (CRDI.MI)	O (02/10/2026)	€64.06

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